

Navigating the Labyrinth: Challenges Faced by Non-Resident Taxpayers while dealing with Income Tax Systems



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Overview

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The income-tax administration in India has been a pioneer in introducing technology/automation in tax. The journey started with the electronic filing of income tax returns and has since, progressed rapidly in terms of introduction of prefilled tax returns, expansive coverage of information in Form 26AS/AIS. Communication with taxpayers has been streamlined with paperless correspondence, faceless assessments and appeals, and a structured income-tax portal.

Digitalisation has redesigned the way information is collected and acted upon by tax administrators and this is evident from new tax policies, TDS/TCS provisions, methods of conducting audits/investigations, and the increase in tax collections and registered taxpayers.

This article explores the features of key tax interfaces which are commonly used by Non-Residents and the issues being faced while dealing with such systems. These systems are:

- i) Centralised Processing Centre/Income Tax filing portal 2.0*
- ii) TRACES - TDS Portal*
- iii) AIS under Project Insight*

For comprehensive and easy reference of the readers, this article is divided into 3 parts covering each of the above systems and issues related thereto.

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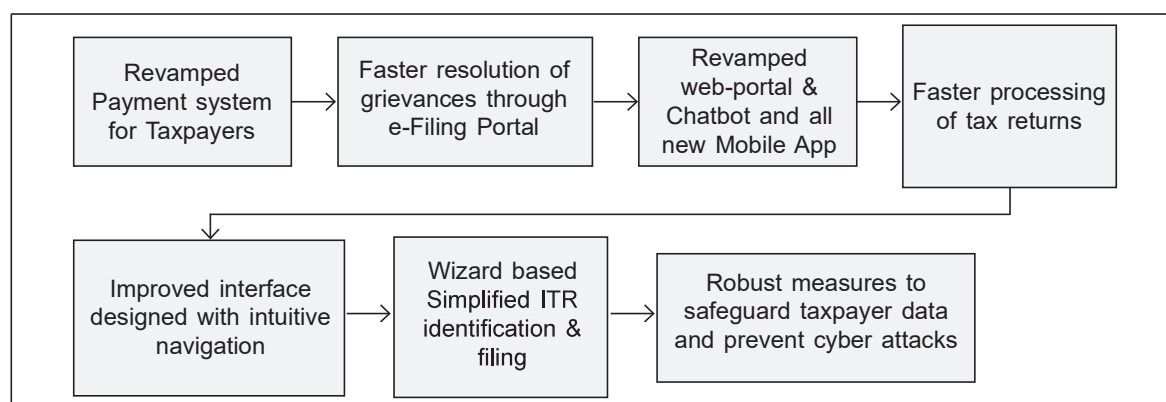
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Part-1 — Centralised Processing Centre (Income Tax E-Filing Portal) and Issues

The seeds of digitalization in tax administration were sown in 2004 with the introduction of voluntary online filing of income tax returns (ITRs). This initial step laid the foundation for further advancements. Subsequently, online filing became mandatory for companies and taxpayers subject to audit under the Income Tax Act. Over time, the online filing system expanded to encompass all taxpayers exceeding a specific income threshold, gradually phasing out manual filing methods.

A watershed moment arrived in 2021 with the launch of the revamped Income Tax filing portal. This new platform aimed to address the limitations of the previous system and provide a more user-friendly experience for taxpayers. Here are some key features of the new portal:



The new portal, despite initial hiccups, has significantly improved the accessibility and ease of filing ITRs for taxpayers. The online platform has also facilitated faster processing of returns and refunds, promoting efficiency within the tax administration system.

Notwithstanding, significant benefits to the tax administration and to the taxpayers in general, there still remains certain teething issues that are somewhat not promoting image of India as a business-friendly jurisdiction and these issues are a cause of concern for the non-resident taxpayers.

Challenges being faced in dealing with CPC or Income Tax E-Filing Portal

Issue-1 — Claim of TDS Credit based on Transaction Based Reports

- Let's take a case study to understand the underlying issue and the context.
- U. Inc provides software license services to its Indian customers. During the initial years of its operations in India, it was advised to U Inc., that income from sale of software license is not taxable in India and is accordingly not required to obtain a PAN in India.
- Thereafter, it is seen that that Indian payers while making payment to the non-residents deduct TDS @ 10% on gross basis as per Article-12 of India-USA DTAA. The Indian customers while filing their TDS returns (Form 26Q) did not tag the tax deducted to the PAN of U Inc., since U Inc., does not possess any PAN at that time.

- The deductors provided evidence of tax withholding in the form of Transaction Based Reports that contains the name, details of income paid, and the taxes deducted but do not contain the PAN of the U Inc.
- Subsequently, near to the filing of the return of Income in India, Supreme Court of India in the case of Engineering Analysis (March-2021)¹ concluded that payments to non-resident for sale of software license in India is not subject to tax in India as royalty Income under the DTAAs.
- Considering the impact of the Supreme Court ruling, U Inc. decided that since its income is not subject to tax in India, it should claim the refund of the taxes paid in India in the form of TDS deducted by its Indian customers.
- U Inc. filed its return of income by treating the software license income as exempt and claimed the credit of TDS deducted by Indian customers on the basis of transaction-based reports.
- While processing of the return of income under Section 143(1), CPC denies the credit of the TDS claimed based on TBR's. The reason for denial is the mismatch of Credit as per Form 26AS and as per Return of Income.
- Such action of denial of credit is not as per the provisions of the law and the court rulings (Delhi High Court (Court on Its *Own Motion vs. CIT [2013] 352 ITR 273*). Non-generation of the form

1. *Engineering Analysis Centre of Excellence (P) Ltd. vs. Commissioner of Income-tax [2021] 125 taxmann.com 42 (SC).*

16A and reporting of the WHT credits in form 26AS is not in the control of the Company and is a result of the systems designed by the Income-tax department. The taxpayer should not be denied the credit of taxes duly withheld on payments made to it for the reasons not attributable to it and TBR so generated from TRACES should be considered akin to a WHT certificate in form 16A.

Solution for this issue - Similar to Form 16A, a unique number should be generated on the Transaction based reports generated by deductors for cases where payee does not have PAN in India. That unique number can be mentioned by the payee in the Income Tax Return. If the Unique number matches with the one on the Traces Portal, then CPC should allow the credit of taxes deducted.

Issue-2 — Failure of refund credit to foreign bank account of non-residents

- Quoting of bank account details in the Income-tax Return (ITR) is a precondition for direct credit of refund in the bank account. Until 2016, there was no provision in the ITR form for non-residents not having bank accounts in India, to furnish the details of their foreign bank accounts for receiving refund in such foreign bank accounts. Further, the ITR forms notified for financial year 2016-17 and onward required non-residents to furnish the details of their foreign bank accounts.
- There is also a condition that bank account must be pre validated in order to process the refund to the bank account.

- Despite the above functionalities, it is often seen that that bank account validation fails due to the reason that PAN is not linked to the foreign bank account.
- This is quite impractical and away from the ground realities considering that the bank account opened in foreign country would be based on their home country incorporation documents and not the India PAN.

Solution- The Bank account validation should be based on the global banking systems practices like IBAN/Swift Numbers

Issue-3 — Mandatory India Mobile Number for obtaining Electronic Form 10F

- India has entered into tax treaties with multiple countries to avoid instances of double taxation of income. Non-residents can reap benefits of these tax treaties by submitting the necessary documents. As per the provisions of the Income Tax Act, non-residents can claim benefits of tax treaties (e.g. reduced tax withholding, exemption from taxability) only if they furnish a valid Tax Residency Certificate ("TRC"). If the TRC does not contain all the necessary information, then the non-residents are required to file Form 10F. In most of the practical cases, it has been seen that Indian tax deductors insist on Form 10F along with TRC.
- Prior to July 2022, Form 10F can be provided manually by non-residents to Indian tax deductors. However, in July 2022 Central Board of Direct Taxes (CBDT) mandated that Form 10F has

to be generated electronically from the Income Tax Portal. This created multiple challenges for the non-residents including:

- They had to register themselves on the income tax portal to file Form 10F
- PAN was mandatorily required to get registered on the income tax portal
- Digital Signature Certificate (DSC) was mandatorily required to digitally sign Form 10F.
- In order to ease out the above challenges, the CBDT came up with a procedure effective from 01st Oct-2023, wherein non-residents who are not required to obtain a PAN in India, can also register on the tax portal by doing OTP based verification.
- Despite the above relaxations, following issues are still being observed:
 - The Portal does not send OTP on the Foreign Mobile numbers, thus invariably forcing non-residents to either obtain India Mobile number.
 - If non-residents do not have India Mobile Number they then have to appoint an Indian person having India mobile as authorised signatory for the purpose of E-Verifying Form 10F, creating additional compliance burden.

Solution: Foreign Mobile Numbers should be considered as valid for sending out the OTP or one should retain only Email based OTP verification.

Issue-4 — Set Off of Refunds against past erroneous demands

- Adjustment of refunds due to assessee against erroneous demands shown outstanding in their cases causes a lot of trouble.
- It has been observed that even if assessee disagrees with the demand for the reasons like rectification is being filed, or appeal along with stay of demand is filed, still intimations u/s 245 are being issued proposing to adjust the refund.
- It is also seen that refund adjustment is being proposed also in cases where stay of demand has been granted after payment of 20% of the disputed demand.
- The intimations that are being issued provide only 1-2 days of time to the assessee to respond.
- In the case of non-resident's, it is also seen that the refund adjustment intimations are being issued on the email ids of the persons mentioned in the tax return who may or may not be with the company anymore. Thus, leading to ignorance of intimation and loss of remedy available with the taxpayer
- Even if the assessee responds to the intimation u/s 245 stating that the proposed action of adjustment is erroneous, there is no remedy by which CPC can take a note of the same.
- The refund due to the assessee is adjustment and assessee is left helpless.

Solution: It is suggested proper and clear guidelines should be issued whereby CPC should not propose to

adjust the refund in all cases where assessee has disagreed with the demand due to reasons like rectification is pending or where stay of demand application is pending for disposal or where stay is already granted.

Issue-5 — Increase in Outstanding demands as per portal without issuing any notice u/s 156 or u/s 220 or u/s 221

- The CPC portal after the expiry of the 30 days' time period for paying demand amount, automatically starts computing the interest amount @ 1% on the whole amount of demand (ignoring the amount paid as pre-deposit) starting from the beginning of the assessment year instead of the period after expiry of 30 days as per the demand notice u/s 156.
- In some cases, it is also seen that the interest amount is accrued on the CPC portal beginning from the date of the draft assessment order u/s 144C. This is blatantly incorrect as demand raised in draft assessment order is not crystalised until the final assessment is passed.

Because of the above errors in computation, inflated figures of outstanding demand reflect on the tax portal. At many times, the statutory auditors require these amounts to be booked as provisions or disclose under the contingent liabilities. This leads to unnecessary administrative work and delays in audit finalisation.

- It is also seen that various demands are being uploaded to the E-Filing portal, against which assessee files the disagreement response. No action is being taken on such response filed by assessee and suddenly on one fine day, assessee find out that these demands

are finalised without disposing off the objections filed by the assessee by way of a speaking order. Due to absence of speaking order, assessee is not able to either file a rectification application or appeal as there is no order. Also, as a result of these erroneous outstanding demands, the refund amounts due to the assessee 's are adjusted against u/s 245(1).

Solution- The interest computation methodology of the CPC should be updated to take into account the amount pre deposit amounts and the correct start date. Also, whenever the objections of taxpayer are rejected against the outstanding demand, a speaking order should be passed against which taxpayer can file rectification request or appeal before the Commissioner (Appeals) or Joint Commissioner (Appeals).

Issue-6 — Denial of TDS Credit to timing mismatch of income as per assessee and as per deductor (Online Form-71 Procedure)

- It is often seen that; Non-Residents offer their income tax in India on accrual basis (e.g. royalty/FTS) however some of the deductors report the income in TDS returns only upon the payment or issuance of certificate as per Form 15CA/CB. The time to revise the Income tax return would have already lapsed in many of these cases.
- As a result of the above mismatch, non-residents are not able to take credit of TDS reported by the deductor in the next year, since the income was offered to tax in earlier year and not in the year in which TDS was reflecting in Form 26AS.

- Understanding this hardship, the GOI introduced new provisions in the Act- Section 155(20) r.w. Rule 134, allowing taxpayers to file a rectification application (Online Form-71) in the above cases, where income offered to tax in earlier years but tax credit available in subsequent years. There is a time limit of two years from the end of financial year when TDS was deducted, within which the Online Form 71 is to be filed.
- Practical Issues being faced:
 - The process although is online filing however the actual verification is done by the assessing officer, which is a tedious and time-consuming process.
 - The assessing officer asks for documentation like affidavit from the deductor companies that they duly complied with the TDS provisions and no double benefit is allowed. This is cumbersome requirements and creates difficulties in getting the refund.

Solution- Instead of manual verification process an online functionality should be developed by CPC wherein assessee can claim the TDS credit available in subsequent years by inserting details like TAN Number of Deductee, TDS Challan, Certificate Number etc.

Issue-7 — Defective Return Notices to taxpayers filing Gross Basis return or under presumptive taxation

- Non-resident taxpayers, for example oil and gas service providers offer their income on a presumptive basis @ 10% of Gross receipts u/s 44BB. The taxpayers in this case rely upon the Supreme Court judgement in the case of ONGC Limited (2015)², wherein it was held that income from rendering of services in connection with prospecting or extraction of oil, is taxable on a presumptive basis under Section 44BB only and net basis of taxation under Section 44DA or gross basis under Section 115A is not applicable.
- While, filing their return of income, non-residents are required to mention whether they have a permanent establishment in India. The non-residents generally answer to this question as “Yes,” on a conservative basis to avoid any penalty exposure.
- At the time of processing the return of income, CPC issues notice under section 139(9) of the Act proposing to treat the return of income as invalid as the Balance Sheet & Profit and loss account details are not filled up. Thus, ignoring the stated provisions of law which clearly mention that requirement to maintain book of accounts u/s 44AA and get them audited u/s 44AB is not

2. Decision of the Supreme Court dated 1 July 2015, in the case of *Oil & Natural Gas Corporation Limited vs. CIT & ANR (Civil Appeal No. 731 of 2007)*

applicable if income is offered to tax at the rate not less than the presumptive tax rate (i.e. 10%).

- Even if assessee re uploads the same tax return, it is rejected again for the same reason. In many cases, refund also gets time barred as the time limit of filing of valid return is lapsed since defective return is not considered as valid return of income.

Solution: It is recommended that the CPC takes remedial action in cases mentioned in the Justification section and should not treat the returns as defective as there is no requirement for presumptive taxpayers to maintain books of account u/s 44AA and get the same audited under section 44AB.

Part-2 — Traces Portal and Issues

TRACES (TDS Reconciliation Analysis and Correction Enabling System) is an online platform developed by the Income Tax Department of India. It simplifies Tax Deducted at Source (TDS) administration for various stakeholders, including Non-Residents.

Using TRACES portal Tax Credit Statement (Form 26AS) Non-Residents can track the TDS deducted on their Income in India and also verify their TDS certificates. In addition, they can also file an application for lower withholding tax u/s 197 or u/s 195.

In this section of the article, we will see some of the issues being faced by non-residents while dealing with TRACES portal.

Issue-1 — Section 197/Section 195(2) Lower withholding application filing timelines

- Currently, the window for filing applications for lower/nil TDS opens in

the month of March of the preceding FY. For example, the application for lower/nil TDS for FY 2024-25 will open in March 2024.

- As a result, tax officers do not get sufficient time to review and process the applications which leads to delay in issuance of lower/nil withholding certificates. Accordingly, the applicants do not get the certificates with effect from 1 April of the FY and for the part of the year higher taxes are being withheld thus resulting in working capital blockages and claim of refund which is a tedious and time-consuming process in itself.
- Further, no time limit has been prescribed for processing of application under S. 195(2) and 197 of IT Act. As a result, the time taken for processing and approving the applications differ on case-to-case basis and depends on the tax officer.

Solution

- The window for filing applications for lower/nil TDS should be opened earlier than March of the preceding financial year. This will provide sufficient time to tax officers to process the applications before start of the financial year.
- Where similar applications have been approved in earlier years and there are tax losses/refunds in subsequent years, introduce a 15-day timeline for processing of such applications. In other cases, 30-day timeline could be prescribed. This is in line with Central Action Plan for 2023-24.

Issue-2 — Complexities while creating online account on TRACES Portal for Non-Residents (www.nriservices.tdscpc.gov.in)

- If a Non-Resident has to create login for making application for lower deduction certificate, then the login can be created only after validation and the validation can be done through:

- Details of TDS/TCS Deposited – This is generally not available with the Deductee because earlier he was not required to deposit TDS
- Challan Details of Tax Deposited by Taxpayer - This is also generally not available with the Deductee.
- A snippet of the Traces Portal is enclosed below:

① Please enter values for either Option 1 or Option 2

Provide values for either Option 1 or Option 2 for validation purpose

Option 1-Details of TDS Deducted/Collected

TAN of Deductor ?

Type of Deduction ?

Month-Year ?

TDS/TCS Amount (Rs.) (e.g., 1987.00) ?

Option-1: Enter any TAN of deductor who has deducted TDS from the Tax Payer on or after April 1, 2011 and the deduction details

Option 2-Challan details of Tax Deposited by Taxpayers

Assessment Year ?

Challan Serial Number (e.g. 50920) ?

Amount (Rs.) (e.g., 1987.00) ?

Option-2: Enter Challan serial number and amount for the selected assessment year for any tax paid by the Tax Payer

① It is Mandatory to fill all values in either Option 1 or Option 2

Solution- A simple PAN and Email based verification should be put in place instead of forcing the taxpayers to mention details that are not applicable on all the taxpayers.

Part-3 — Annual Information Statement (AIS) and challenges in reported information

- The AIS is a comprehensive view of financial information for a taxpayer, made available by the Income Tax

Department. The tax department collects information on financial transactions from multiple sources. This information primarily includes tax withheld/collected at source by various deductors/collectors, their corresponding income from the e-TDS/withholding tax returns, advance and self-assessment taxes paid, and tax refunds received. This information is regularly shared with taxpayers in Form 26AS, also known as

the annual tax credit statement, which can be downloaded from the taxpayer's account on the income tax portal.

- However, with a view to effectively utilize the data collected from various sources and use data to drive voluntary compliance, with effect from 1 June 2020, an enlarged volume of financial information is displayed to the taxpayer through AIS. AIS is an expanded version of Form 26AS and provides like a 360-degree overview of information about the taxpayer relating to:
 - Specified financial transactions such as cash deposit/withdrawal from bank accounts.
 - Sale/purchase of immovable property
 - Banking transactions like opening of time deposits and credit card payments.
 - Capital market transactions like sale/purchase of shares, debentures, purchase/redemption of mutual funds, buy back of shares.
 - Other High Value transactions like purchase foreign currency cash payment for goods and services etc.
- The AIS provides a facility for the taxpayer to object to any information if the RFI has misreported any such information. If the taxpayer feels the information is incorrect or relates to

another person/year, duplicate, etc., a facility has been provided to submit feedback online/offline. Once the taxpayer submits the feedback, the reported value and modified value after feedback are shown separately in the AIS.

- Recently on 13th May-2024, CBDT came up with a press release³ wherein a new functionality has been rolled out a new functionality in AIS to display the status of information confirmation process. This will display, whether the feedback of the taxpayer has been acted upon by the Source, by either, partially or fully accepting or rejecting the same.
- AIS has significantly assisted in collation and pre-populating the sources of income for taxpayers, streamlining the process for filing tax returns, and eliminating the necessity of gathering and analysing documents before filing tax returns.
- Nonetheless, there have been multiple instances where discrepancies between income and details reported in the AIS and the summary presented in the TIS have been observed.

In this section of the article, we have outlined below several areas where additional information can be incorporated, or the flow of information can be enhanced to transform the AIS into a definitive reference document, ultimately enhancing the accuracy and completeness of tax return reporting:

3. <https://pib.gov.in/PressReleaseIframePage.aspx?PRID=2020466>

Issues in AIS Reporting

Issue-1 — Value of Rental Income

- Many of the Non-Resident Indians have investment in residential properties in large urban office hubs like Gurgaon, Pune, Noida and Bengaluru. The residential properties are given on lease to the corporate employees, who in turn claim House Rental Allowance Exemption for the rentals paid to the landlord.
- At the time of giving their yearly tax declarations, employees are required by the employers to share the PAN of the landlord. The employer is also required to mention the PAN of the landlord in their Quarterly TDS Returns- Form 24Q.
- Now, the rental income is being reported in AIS of the landlord, based on TDS return Form 24Q filed by employer.
- It is often seen that rental amount reflected is the exemption amount claimed by the tenant as an employee, which may differ from the actual rent paid.
- Also, in case of joint tenants, it is seen that when each of tenant claim full HRA amount for the total rent instead of pro rata rent, then the amount reflecting in AIS of Landlord is significantly higher than the actual rental income often twice or thrice the actual rental.

Issue-2 — Reporting of transactions related to capital gains

- Currently, the AIS functionality does not include complete information regarding the purchase date of shares or securities. While the ITD is undertaking various steps to incorporate the acquisition cost

of shares/securities, this information appears as NIL in certain instances. This imposes an additional burden on individuals who must gather this data despite most other details being readily available in the AIS.

Therefore, enhancing the Statement of Financial Transactions ("SFT") system to encompass complete information on the acquisition cost is essential.

- The values recorded in the AIS for sale consideration and acquisition cost are determined based on the best available prices as of the sale/purchase date, which may not always align with the actual values. To ensure precise reporting, these details can be directly populated from the SFT or obtained from CDSL, NSDL, etc., to the possible extent.
- The debit date/date of sale reported in AIS is 2-3 days after the date reported in the capital gains statements provided by brokers (depository participant). The date reported in AIS is the settlement date whereas the date reported by brokers is actual date of sale. Sometimes the settlement date can be after the FY while the sale has been done before Financial Year, which can result in income mismatch as well incorrect categorisation of capital gains as short term or long term.
- In case of sale/purchase of property by Joint Holders, AIS should display total value of such sale/purchase as well as sale/purchase value related to each taxpayer for ease of reference and reporting in the tax return.

Other Miscellaneous Issues

- AIS includes the details for taxes paid during the year according to the date of payment. However, taxes paid information does not reflect in the AIS of the AY to which it pertains as was the case in Form 26AS.

To ensure that the appropriate information is available to the taxpayer while filing the tax return, it is imperative to ensure that the tax paid information is appropriately reflected in the AIS of the AY to which it pertains.

- AIS functionality continues to be updated even after taxpayer has filed tax returns for a particular year. Further, any mismatch detected during processing of ITR invites intimation u/s 143(1).

Solution for issues related to AIS reporting.

- Income Tax Department should ensure accuracy of reporting made basis the trend of feedback received from taxpayers with respect to data reported by a particular Reporting Financial Institution and by taking necessary action to prevent misreporting or inaccurate reporting's. This will help

to reduce the time spent by taxpayer in reconciling data and build taxpayer's trust in the system.

- In case the taxpayer objects, the information submitted by third parties should not be used by Income-tax department until the same is verified adequately and after allowing the taxpayer an opportunity of being heard.

Concluding remarks

In conclusion, India's digital tax administration offers undeniable efficiencies, but for non-resident taxpayers, navigating these systems can be a hurdle. Issues like denial of refund of TDS due to 26AS mismatch, erroneous demands impacting refunds adjustment, complex Traces registration, and discrepancies in AIS reports highlight the need for further streamlining of interface for Non-Residents. Addressing these challenges will not only enhance the ease of doing business in India but also foster a more positive experience for non-resident taxpayers. By prioritizing user-friendly interfaces, improved communication channels, and Non-Resident specific support systems, India's tax administration can truly unlock the full potential of its digital transformation.



“We want that education by which character is formed, strength of mind is increased, the intellect is expanded, and by which one can stand on one's own feet.”

— Swami Vivekananda